

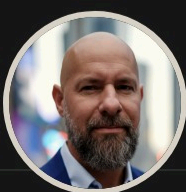
9.5X

TODAY

EV/EBITDA ACROSS 2024-YTD 2026, AGAINST 13.3X ACROSS 2021-23

The crisis everyone
underwrote is over.
The sector got four
turns cheaper.

Every cost shock priced into a 2025 HVAC thesis has ended or reversed — and the regulation the replacement case rested on was withdrawn last month.



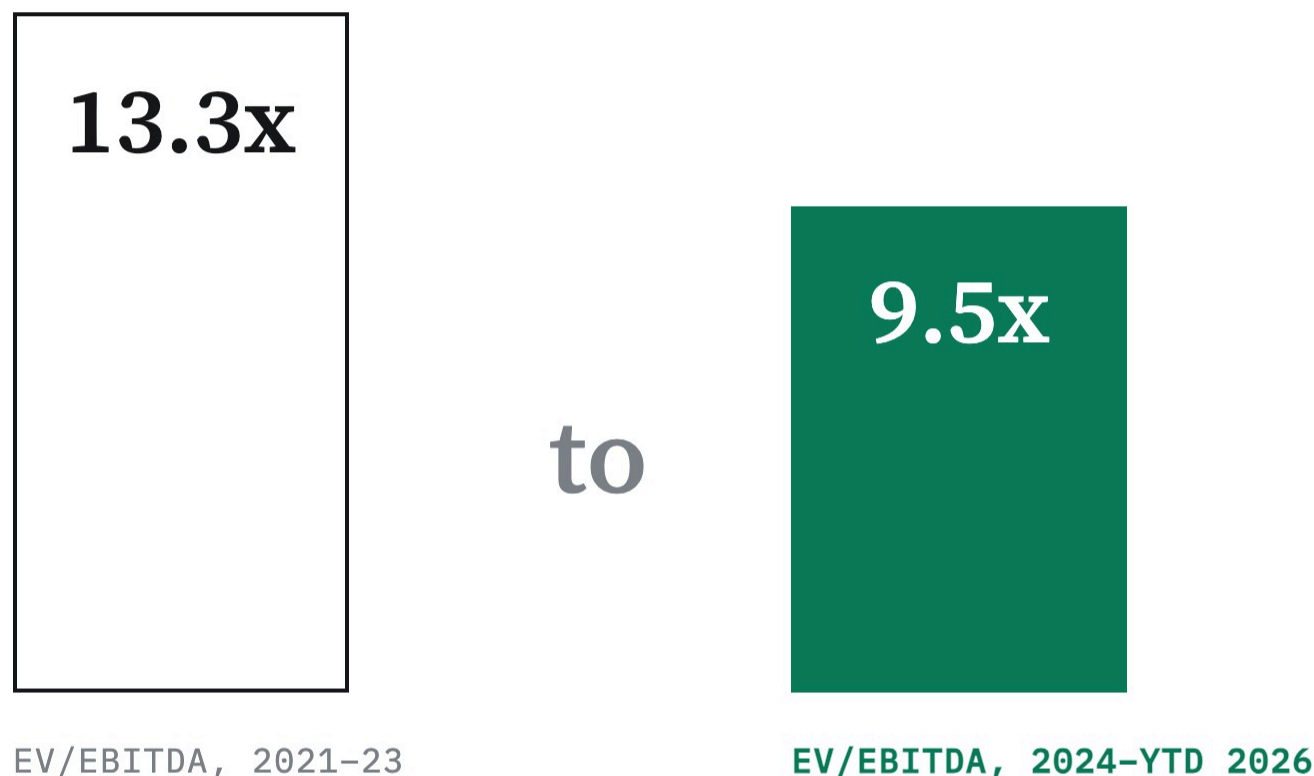
Paul Baker

Buy-side corporate development

SWIPE →

THE RE-RATE

Roughly four turns came out of the sector.



Broader HVAC ran 11.4x against 13.4x on the same split, and EV/revenue 2.0x against 2.3x. One caution that matters more than the number: this is Capstone's HVAC set, which includes upmarket and strategic transactions. Do not average it against GF Data's lower-middle-market blend or against broker-published owner-operator ranges — those are three different populations and the mean of them describes no deal anybody could actually do.

Capstone Partners HVAC Services M&A Update, 27 July 2026

\$449

a 20-lb cylinder of R-454B, where the crisis peak ran above \$900 a year ago.

HARDI called it in October 2025: availability turned in late August and September, and the trade body's director of government affairs said that if you wanted to be really specific, the crisis was over. The root cause was never the chemical. It was a shortage of DOT-approved A2L cylinders with a single domestic manufacturer, and no 2026 source shows an ongoing constraint. Anyone still underwriting refrigerant inflation as a forward cost is underwriting a supply problem that resolved ten months ago.

HARDI via ACHR News, 13 Oct 2025; pricing checked 28 July 2026

THE INVERSION

The refrigerant that is spiking now is the old one.

R-410A has roughly doubled, from about \$6–10 a pound at distributor level in 2024 to \$12–18 by early 2026, while the A2Ls that caused the panic normalise. Production is stepping down at the same time as the extended install window keeps legacy equipment in service and demanding charges. The underwriting consequence runs opposite to the 2025 assumption: the cost exposure is not in the new equipment a target installs, it is in the service book on the old equipment a target maintains. Ask which refrigerant the recurring work actually runs on.

Distributor pricing, 2024 against early 2026

04

THE TARIFF STACK

The import-duty case that shaped 2025 underwriting no longer exists.

The Supreme Court struck the IEEPA tariffs 6-3 on 20 February 2026, and the Court of International Trade invalidated the Section 122 route on 7 May. Section 232 survives — 50% on primary metals, 15% on metal-intensive equipment — but residential HVAC duties were cut from 25% to 15% effective 8 June 2026. Equipment inflation has not stopped; it now arrives through manufacturer pricing rather than through the border, which is a different thing to model and a different thing to negotiate.

SCOTUS, 20 Feb 2026; CIT, 7 May 2026; Section 232 schedule, 8 June 2026

THE TRAP

The deadline the replacement thesis rested on was withdrawn last month.

EPA's reconsideration rule took effect on 27 July 2026 and removed the installation deadline for R-410A equipment manufactured or imported before 1 January 2025 — pre-2025 stock may now be installed until supplies deplete. The 700 GWP limit itself is unchanged. It is under D.C. Circuit challenge from 19 state attorneys general, the NRDC and five industry bodies, and New York codified the original deadline regardless. So the mandated-replacement tailwind is contested rather than given, and it should be underwritten as a binary. Service-heavy books are insulated. Install-heavy books carry the risk.

EPA reconsideration rule, effective 27 July 2026

92

HVAC services transactions year to date — down 4.2%, not up.

Sponsors took 47 of them, up one. Beneath a flat total the mix is where the information is: 38 of the sponsor deals were add-ons against 36 a year earlier, while platform creations fell from 10 to 9 and private strategics dropped from 45 to 34. Public strategics more than doubled, 5 to 11. That is not a booming market and it is not a collapsing one — it is a maturing consolidation cycle, where the platforms are already formed and the volume has moved to tucking businesses into them.

Capstone Partners HVAC Services M&A Update, 27 July 2026

40,100

HVAC openings a year through 2034 — the one constraint that did not ease.

Plumbing runs about 44,000 a year on the same projection, against a separately modeled 550,000 unfilled plumbing positions by 2027. Three of the four things a 2025 thesis worried about have resolved in the buyer's favor: refrigerant, tariffs, and the deadline. Labor did not, and labor is the one that cannot be fixed with a purchase order. That is what makes a technician pipeline the asset in this cycle rather than a line in the diligence checklist — the constraint outlasts the holding period.

BLS projections to 2034; LIXIL / John Dunham & Associates

WHERE THE OPENING IS

Demand is softening beneath the pricing, and the good metros are taken.

Equipment shipments fell 20% in 2025 and are down a further 3.5% year to date. Across the listed comparables the pattern is consistent: one grew second-quarter revenue 7.9% but adjusted EBITDA only 2.2%; another's segment revenue was flat year on year; a third posted 5% price and 1% volume on a flat member count. Meanwhile DFW, Houston, Phoenix, Atlanta, Tampa and Southern California each host four or more platforms. The opening is platform formation in the under-consolidated metros — Mountain West, secondary Pacific Northwest, northern New England, the upper Midwest, second-tier Sun Belt — and tuck-in density everywhere else.

Company filings and shipment data, 2025-YTD 2026

FOR THE ACQUIRER

Re-run the 2025 thesis without the 2025 fear set.

Three of its four cost assumptions have expired and the price came down four turns . What is left is a labor constraint and a service book — which is what you were buying anyway . Follow for the weekly sector reads .



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